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I returned to academia in January 2007 after a three and a half year stint at the IMF. What follows are a sampling of the pieces, including public speeches. The following elaborates on the risk-taking incentives in the system, and was delivered in February 2007, just before the crisis.

## Financial Conditions, Asset Management, and Political Risks: Trying to Make Sense of Our Times

Despite widespread strong productivity growth, nominal investment, especially corporate investment, has remained relatively weak for the world as a whole, while desired savings is strong. Call this a 'savings glut' as did Chairman Bernanke or 'investment restraint' as did the IMF, the net effect is an imbalance between desired savings and realized investment. Consequently, real long-term interest rates have been low for some time. Interestingly, even as the Federal Reserve raised policy rates during 2006, long-term interest rates fell further – in slowing domestic demand in the United States, markets may believe the Fed is aggravating the worldwide excess of desired savings over realized investment further.

Current conditions are unlikely to be permanent. Given aging populations in developed countries though, one would presume that the rebalancing of worldwide investment to desired savings will have to take place primarily in non-industrial countries. Investment will increase partly through foreign direct investment, but partly mediated by the financial systems in emerging markets, which will have to develop further. Increases in consumption as safety nets improve and retail finance becomes widely available will also help reduce desired